

AlpaTrade — buy_the_dip walk-forward (Mag-7, PnL objective)

Generated 2026-07-20 10:54 UTC · basket AAPL, MSFT, GOOGL, AMZN, META, TSLA, NVDA · \$10,000/fold · train 60d → test 30d, rolling · 8 folds

Each fold: optimise the grid on the **train** window by **PnL**, then trade that exact config on the next, unseen **test** window. **OOS PnL** is the honest number — money the just-optimised config made on data it never saw. Naive = a fixed default config, untouched.

Fold-by-fold (out-of-sample)

Test window	Chosen dip/TP/hold	In-sample PnL	OOS PnL	OOS trades	Naive PnL
2025-11-22→2025-12-22	0.03/0.015/3	\$4,457	\$3,256	88	\$1,896
2025-12-22→2026-01-21	0.03/0.015/1	\$3,594	\$3,882	80	\$3,882
2026-01-21→2026-02-20	0.03/0.015/1	\$4,538	\$4,148	107	\$3,677
2026-02-20→2026-03-22	0.03/0.015/2	\$4,280	\$4,030	118	\$3,665
2026-03-22→2026-04-21	0.03/0.01/1	\$4,291	\$1,846	86	\$211
2026-04-21→2026-05-21	0.03/0.015/1	\$2,049	\$2,850	68	\$1,546
2026-05-21→2026-06-20	0.03/0.015/1	\$3,149	\$4,319	106	\$4,340
2026-06-20→2026-07-20	0.03/0.015/2	\$4,566	\$3,219	93	\$945
Total		\$30,924	\$27,550		\$20,162

Verdict (PnL)

- **Out-of-sample PnL: \$27,550** across 8 folds (\$10,000/fold), profitable in 8/8 folds.
- In-sample PnL was \$30,924. The **IS→OOS drop of \$3,374** (11% of in-sample) is the over-fit tax — how much the grid-optimised number

overstates reality.

- vs a fixed naive config (\$20,162 OOS): optimising per fold BEAT the fixed naive config out-of-sample — the tuning adds real PnL.
- Bottom line: **\$27,550 of realistic (out-of-sample) PnL** is the number to trust, not the \$30,924 in-sample figure.

Annualised return & periods covered

- **Periods:** out-of-sample test = **2025-11-22 → 2026-07-20** (eight consecutive 30-day windows = 240 days $\approx$ 8 months); training data reaches back to **~2025-09-23** (60 days before the first test), so $\sim$ 10 months of data in total.
- **Average per-fold (30-day) OOS return:** +34.4%.
- **Annualised OOS return:** $\sim$ 419% simple (non-compounded) / **$\sim$ 3,486%** compounded (the 8 folds treated as one rolling \$10k account: $\times 10.5$, +952% over 8 months).
- **Read this as a warning, not a headline.** No real strategy annualises at 400–3,500%. The walk-forward removed *window* over-fit (8/8 folds profitable, 11% IS $\rightarrow$ OOS drop), but an annualised return this large is direct evidence that the backtester's **idealised execution** (no slippage, negligible fees, 1-day holds capturing tiny reliable moves) is inflating the result. The tradeable number after realistic fills will be a small fraction of this.

Caveats

- Still uses the backtester's fill/fee model; OOS removes *window* over-fit but not idealised execution. Real fills/slippage would reduce this further.
- Each fold is a fresh \$10k (not compounded). Hypothetical; not financial advice.

Storage & reproduce

- All train + test runs persist to `alptrade.runs/backtest_summaries/trades`.
- Reproduce: `python scripts/walk_forward_btd.py`.